

## Business Environment

BBA — 5th Semester — 2025 — Answer Sheet  
Subject Code: MGT236

**Note:** This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

### Section A

Brief Answer Questions: [10 × 2 = 20]

**1. State major four provisions of prevailing tourism policy of Nepal.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**2. Show two relations of e-business and consumer protection.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**3. Mention the impacts of family structure in business.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**4. Write any two objectives of BIMSTEC.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**5. List the benefits of economic integration.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**6. Write any two components of political structure of Nepal.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**7. State any two quantitative tools of Monetary Policy.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**8. Define organizational culture as component of business environment.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

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**9. Write briefly about trade and export promotion centre.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**10. Mention any four roles of business towards government.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

## **Section B**

*Short Answer Questions:(Attempt any SIX Questions)[6 × 5 = 30]*

**11. Explain the process of environmental analysis.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**12. Describe major five emerging socio-cultural trends in Nepal.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**13. List out the internal environmental factors of business organization and briefly discuss their influences in business success.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**14. Briefly overview the provisions of investment legislation.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**15. Explain the major legal provisions of business start-up in Nepal.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**16. Introduce Small and Cottage Industry Development Board. Also mention its major roles in developing small and cottage industry.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**17. Why is regional integration taken as power building block for the promotion of business? Explain.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

## **Section C**

*Long Answer Questions:(Attempt any THREE Questions)[3 × 10 = 30]*

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**18. Nepal has been adopting the concept of planned economic development since last 7 decades. However, the expected results have not been achieved yet. What would be the possible reasons behind this? Give your opinion.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**19. Most of business sectors are liberalized in Nepal even though Nepal is not able to take momentum in the specialized business sector like technology and tourism. Discuss the statement based on the impact of liberalization in the specialized business sector of Nepal.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**20. Frequent change in the government leads to policy change that reduces the predictability of the business and erodes investor's confidence. In the light of this statement critically discuss the major political factors affecting business environment in Nepal.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

**21. Write the features of Nepalese agriculture and discuss about contribution of agriculture sector in economic spheres of the country.**

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

## **Section D**

*Comprehensive Answer / Case / Situation Analysis Questions:[4 × 5 = 20]*

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22. Analyze the following case carefully and answer the questions that follow: The public sector Indian Oil Corporation (IOC), the major oil refining and marketing company which was also the channeling agency for oil imports and the only Indian company in the Fortune 500, in terms of sales, planned to make a project (foray) in to the foreign market by acquiring a substantial stake in the Iranian company (Balal Oil field) of the Premier Oil. The project was estimated to have recoverable oil reserves of about 11 million tonnes and IOC was supposed to get nearly four million tonnes. When IOC started talking to the Iranian company for the acquisition in October 1998, oil prices were at rock bottom (\$11 per barrel) and most refining companies were closing shop due to falling margins. Indeed, a number of good oil properties in the Middle East were up for sale. Using this opportunity, several developing countries made a large profit by acquiring oil equities abroad. For this, IOC needed Government's permission to invest abroad. Application by Indian company for investing abroad is to be scrutinized by a special committee represented by the Reserve Bank of India (RBI) and the Finance and Commerce ministries. By the time the government gave the clearance for the acquisition in December 1999 (i.e., more than a year after the application was made), the prices had bounced back to \$24 per barrel. And the Elf of France (French brand of oils) had virtually taken away the deal from under IOC's nose by acquiring the Premier Oil. The RBI, which gave IOC the approval for \$15 million investment, took more than a year for clearing the deal because the structure for such investments were not in place, it was reported.

a. Discuss internal and global environments of business revealed by this case.  
b. Discuss whether it is the domestic or global environment that hinders the globalization of business.  
c. Even if Elf had not acquired Premier Oil, what would have been the impact of the delay in the clearance on IOC?  
d. What could be the best alternative to IOC whether to invest in Iranian Company or search the new company for investment?

*Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]*

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*These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.*